GST Composition Scheme and Statutory MSME Exemptions Guidelines

Issuing Authority: Goods and Services Tax Network (GSTN), Ministry of Finance, Govt. of India

1. Overview and Statutory Framework

The Goods and Services Tax (GST) framework provides special statutory concessions, exemptions, and simplified compliance mechanisms for Micro, Small, and Medium Enterprises (MSMEs) under Section 10 of the Central Goods and Services Tax (CGST) Act, 2017. These guidelines govern the composition levy, threshold exemptions, quarterly filing benefits, and e-invoicing relaxations designed to lower the compliance burden for small businesses.

2. Composition Scheme Eligibility and Turnover Limits

Any registered business entity whose aggregate turnover in the preceding financial year did not exceed Rs. 1.5 Crore (Rs. 75 Lakhs for Special Category States and North-Eastern States) is eligible to opt for the GST Composition Scheme. For pure service providers, the turnover limit is Rs. 50 Lakhs under Notification No. 02/2019-Central Tax (Rate). Eligible businesses make a flat-rate quarterly tax payment and file a single simplified annual return (GSTR-4) along with quarterly payment challans (CMP-08).

3. Concessional Tax Rates and Structure

Under the Composition Scheme, tax rates are heavily concessional:

• Manufacturers: 1% of total turnover (0.5% CGST + 0.5% SGST).

• Traders and Retailers: 1% of turnover of taxable goods.

• Restaurants (without alcohol service): 5% of turnover (2.5% CGST + 2.5% SGST).

• Service Providers and Mixed Suppliers: 6% of turnover (3% CGST + 3% SGST).

Composition taxpayers cannot collect tax from customers via tax invoices and cannot claim Input Tax Credit (ITC).

4. Quarterly Return Monthly Payment (QRMP) Scheme

Small taxpayers having an aggregate turnover up to Rs. 5.0 Crore in the preceding financial year can opt for the QRMP Scheme. Under QRMP, taxpayers file Form GSTR-1 and Form GSTR-3B on a quarterly basis instead of monthly, while paying taxes monthly through a simplified Invoice Furnishing Facility (IFF) and fixed sum or self-assessment challan. This eliminates 16 tax return filings per year for MSMEs.

5. E-Invoicing and Registration Threshold Exemptions

Mandatory e-invoicing rules do not apply to micro-enterprises with aggregate turnover below Rs. 5 Crore. Furthermore, MSME suppliers dealing exclusively in goods are exempt from mandatory GST registration if their aggregate annual turnover does not exceed Rs. 40 Lakhs (Rs. 20 Lakhs for services and special states). Application to opt into the Composition Scheme is made online via Form GST CMP-02 on the official GST portal (www.gst.gov.in).